BEFORE THE
STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

In the Matter of

The Brooklyn Union Gas Company d/b/a National Grid NY &
KeySpan Gas East Corporation d/b/a National Grid

Cases 23-G-0225 & 23-G-0226

September 22, 2023

Prepared Rebuttal Testimony of:

Staff Gas Rates Panel

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Q. Please state your names, employer, and business addresses.

A. Our names are Brian Grode, Hieu Cam, and Jackson Harmon. We are employed by the New York State Department of Public Service, or the Department or DPS. Our business address is Three Empire State Plaza, Albany, New York 12223-1350.

Q. Have you previously sponsored testimony in this proceeding?

A. Yes. We are all members of the Staff Gas Rates Panel, which offered pre-filed direct testimony on September 1, 2023 addressing Brooklyn Union Gas Company d/b/a National Grid's, or KEDNY, and KeySpan Gas East d/b/a National Grid's, or KEDLI, collectively the Companies, proposals related to revenue price outs, the Embedded Cost of Service or ECOS studies, revenue allocation, rate design, and tariff modifications.

Q. What is the purpose of the Panel's rebuttal testimony?

A. The purpose of our testimony is to address the direct testimonies filed by Danielle Panko on behalf of the Utility Intervention Unit, or UIU, and William D. Yates on behalf of the Public

Utility Law Project of New York, or PULP, regarding their proposals concerning ECOS studies, revenue allocation, and rate design.

Rebuttal to UIU

ECOS and Revenue Allocation

Q. Describe the two ECOS studies that each Company performed for these rate filings?

A. One ECOS study used a minimum system study to classify costs within the Federal Energy Regulatory Commission, or FERC, Account 376 as customer related or demand related. We will refer to this study as the Minimum System ECOS Study. The other ECOS study classified 100 percent of costs within FERC Account 376 as demand related. We will refer to this study as 100 Percent Demand ECOS Study. In the Minimum System ECOS Study, demand related costs are allocated to each service class based on peak hourly or daily demand, while customer related costs are allocated based on the number of customers served and are incurred by the Companies whether or not an individual customer uses any gas.

Q. What is a minimum system study?

A. As described on page 21 of our initial testimony filed on September 1, 2023, the minimum system study compares the cost of a hypothetical minimum distribution system to the total cost of the entire distribution system. This study is used to estimate the portion of distribution system costs that are customer related for the FERC Account mentioned previously, as this Account is considered to have both customer-related and demand related-costs.

Q. Which ECOS studies did the Companies use to allocate Account 376 costs?

A. The Companies used an average of three Minimum System ECOS Studies. The 100 Percent Demand ECOS Studies were not used but provided for informational purposes as required of the Companies by the Commission as a part of Cases 19-G-0309, 19-G-0310, and 18-M-0270 the Order Approving Joint Proposal, as Modified, and Imposing Additional Requirements on August 12, 2021, or the 2021 Rate Order. For both Companies, the results of the minimum system studies filed in these rate proceedings were averaged with the results of the previous two

rate filings' studies and that average was used as the ratio of demand and customer costs for FERC Account 376.

Q. What position does UIU take regarding the ECOS studies performed by the Companies in these rate filings?

A. Ms. Panko states on page 4 of her testimony, that in lieu of relying on one or more ECOS studies to identify over-earning and under-earning classes, a uniform increase should be given to all service classes, or SCs, for both Companies. In addition, should the Commission approve a multi-year settlement, Ms. Panko states that there is merit in considering the outputs of both of the ECOS studies that each Company performed.

Q. Why does UIU propose a uniform increase to all SCs for each Company?

A. On page 24 of her testimony, Ms. Panko argues that because the ratepayers received two years of delivery revenue increases of less than two percent in the last rate cases in response to the COVID-19 pandemic, introducing delivery increases greater than the average increase can

further compound financial impacts to customers. Therefore, to mitigate rate shock, Ms. Panko proposes to allocate the revenue increases to each SC uniformly should the revenue requirements proposed by the Companies, or revenue requirements of similar magnitude be approved by the Commission in these rate proceedings.. A comparison of the Companies' respective ECOS results and UIU's proposed uniform increases can be seen in Ms. Panko's testimony on page 25, Tables 5 and 6 for KEDNY and KEDLI, respectively.

Q. Does the Panel agree with UIU's proposal to assign uniform increases to each SC for both Companies?

A. No. As stated on page 23 of our initial testimony filed on September 1, 2023, we support using the ECOS studies that include a minimum system study to determine the customer and demand components of distribution mains.

Q. Why does the Panel disagree with the UIU proposal to give uniform increases to each SC for both Companies?

A. Assigning a uniform increase to all SCs would

ignore the fact that there are multiple SCs that are either over contributing or under contributing toward their cost of service and the burden they imposed on the system. UIU's proposed method is an inequitable way of allocating the incremental revenue requirements associated with these rate filings to customers. In addition, due to the magnitude of the rate increases, assigning a uniform increase to all SCs would further exacerbate the levels to which those SCs are under or over contributing.

Q. How did UIU support the usage of 100 percent Demand ECOS Study?

A. On page 13 of Ms. Panko's testimony, Ms. Panko states that relying upon several ECOS models to allocate costs is more appropriate as "it provides more insight into the impact of key judgements" and allows the Commission to make better, more informed decisions.

Q. How does UIU propose to incorporate both ECOS studies in the revenue allocation process?

A. There is no specific proposal in UIU's testimony as to how the results of multiple ECOS studies would be considered for revenue allocation.

Q. Does the Panel take a position on the UIU proposal to incorporate the results of multiple ECOS studies in the event of a multi-year settlement?

A. The Panel testified to the rate design for the Rate Year. Ultimately, we do not support the usage of the 100 percent Demand ECOS studies in one-year rate cases for the Companies or otherwise.

Q. Is the minimum system study generally accepted as a method to determine the customer related and demand related costs?

A. Yes. The National Association of Regulatory Utility Commissioners, or NARUC, Gas Distribution Rate Design Manual Chapter II Section 2 Classification of Costs states that under the minimum size main theory, all distribution mains are priced out at the historic unit cost of the smallest main installed in the system and assigned as customer costs. The remaining book cost of distribution mains is assigned to demand. The zero-inch main method would allocate the cost of a theoretical main of zero-inch diameter to the customer

function, and allocate the remaining costs associated with mains to demand.

Q. Given the Minimum System ECOS Study and 100 Percent Demand ECOS Study are both generally accepted methodologies for allocating costs to Account 376, why does the Panel support using the Minimum System Study ECOS over the 100 Percent Demand ECOS Study?

A. We support using the Minimum System ECOS Study over the 100 Percent Demand ECOS Study because we believe the 100 Percent Demand ECOS Study is flawed.

Q. Specify the flaw associated with the 100 Percent Demand ECOS Study?

A. FERC Account 376 is comprised of the Companies' current book cost of all distribution mains installed. The cost to install distribution mains is a function of: (1) pipe diameter which depends on customer demand, and (2) the length of the main which generally depends on the number of customers. Generally, longer mains are required to attach greater number of customers. Assigning 100 percent of main installation costs as demand related cost would

completely ignore that the costs of installation costs depend on the length and number of customers.

Q. Has the Commission previously ruled against allocating gas mains entirely based on demand?

A. Yes. In Cases 08-E-0887, 08-G-0888, 09-M-0004, concerning Central Hudson Gas and Electric Corporation's rates, as stated on page 47 of the Order Adopting Recommended Decision with Modifications, the Commission ruled against allocating gas mains entirely based on demand. Instead, the Commission directed Central Hudson Gas and Electric Corporation to allocate gas mains based on 65 percent demand and 35 percent customer.

Rate Design

Q. What is UIU's position on the Companies' rate design?

A. UIU supports the Companies' proposal to flatten blocks - that is, to bring the tail block rates closer to the mid block rates within a given SC - further proposing that should the Commission approve a significant reduction in revenue requirement, further movement could be made to

flatten the blocks. In addition, UIU states that should the Commission approve significantly lower revenue increases in these cases, a reduction in the customer charge or more movement toward eliminating declining block rates may be feasible.

Q. Does the Panel support this position?

A. It is unclear if UIU proposes to reduce minimum charges from current minimum charges, or the newly proposed minimum charges. That said, we do not support the reduction of minimum charges below the current rates.

Q. Why does the Panel disagree with reducing the minimum charges below current levels?

A. We do not support this because the current minimum charges are already well below the minimum charges supported by Marginal Cost of Service, or MCOS study. Reducing the minimum charge would inequitably shift the rate increases toward high use customers.

Rebuttal to PULP

Rate Design

Q. What is PULP's position on the Companies' rate design?

A. Mr. Yates proposes that the parties and the Commission explore alternative rate designs that would freeze minimum charges and reward conservation and energy efficiency through lower delivery bills. Mr. Yates states, on page 17 of his corrected Direct Testimony filed on September 19, 2023, that their proposals are sensible and promote affordability and responsible environmental stewardship given the Climate Leadership and Community Protection Act goals. Beginning on page 16 of Mr. Yates' corrected testimony, he lists the residential heating and non-heating monthly minimum charges and the monthly minimum charges proposed to be frozen. As such, we interpret the Mr. Yates' position to only apply to residential customers.

Q. Does the Panel support the PULP proposal to freeze minimum charges and reward conservation and energy efficiency.

A. No. As stated on page 42 of this Panel's direct testimony, we support the Companies' minimum charge increase proposals as they are supported by the MCOS study. Further, increasing the minimum charge is an acceptable method to

allocate the rate increase equability to all customers including low use customers.

Q. Does this conclude the Panel's testimony at this time?

A. Yes, this concludes the Panel's rebuttal testimony. Thank you.